

DEACONS (EAST AFRICA) PLC UN-AUDITED FINANCIAL STATEMENTS FOR THE PERIOD ENDED JUNE 2017

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME			CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS				
	6 Months 2017 Shs'000	6 Months 2016 Shs'000		6 Months 2017 Shs'000	6 Months 2016 Shs'000		
REVENUE	1,077,695	1,026,090		Kshs '000	Kshs '000		
NET OPERATING PROFIT	333,572	491,342	Operating activities				
EXPENSES	31%	48%	Cash generated from operations	-172,947	294,784		
EBITDA	(523,969)	(466,396)	Taxation paid	(15,920)	(8,129)		
DEPRECIATION	(48,172)	(50,844)	Net cash from operating activities	(188,867)	286,655		
FINANCE COSTS	(36,627)	(46,848)	Net cashflow from Investing activities	(28,177)	(122,999)		
NET FOREIGN EXCHANGE (LOSS)/GAIN	17,450	2,578	Net Cashflow from Financing activities	176,772	(349,779)		
PROFIT FROM CONTINUING OPERATIONS	(257,746)	(70,168)	Net movement in cash and cash equivalents	(40,271)	(186,123)		
SHARE OF PROFIT FROM ASSOCIATE			Movement in cash and cash equivalents				
PROFIT BEFORE TAXATION	(257,746)	(70,168)	At start of year	(39,882)	-		
PROFIT FROM SALE OF BUSINESS	-	-	Increase/(decrease)	(40,271)	(186,123)		
PROFIT BEFORE TAXATION FROM CONTINUING OPERATIONS	(257,746)	(70,168)	At end of the period	(80,154)	(186,123)		
TAXATION CREDIT / (TAXATION)	77,324	17,542	CONSOLIDATED STATEMENT OF CHANGES IN EQUITY				
PROFIT/(LOSS) FOR THE PERIOD	(180,422)	(52,626)		Share capital Shs '000	Share premium Shs '000	Retained earnings Shs '000	Translation reserve Shs '000
EXCHANGE DIFFERENCES FROM TRANSLATION OF FOREIGN OPERATIONS		(102)					Total Shs '000
TOTAL COMPREHENSIVE INCOME FOR THE PERIOD	(180,422)	(52,728)	At 1 January 2016	308,896	548,803	674,909	(20,314)
BASIC AND DILUTED EARNINGS PER SHARE FROM CONTINUING OPERATIONS*	(2.09)	(0.57)	Profit for the year	-	-	(276,345)	(1,571)
NO. OF SHARES	123,558	123,558	Other comprehensive income-Dividends	-	-	(61,746)	-
			Paid out	-	-		
			Total comprehensive income for the year	-	-	(338,091)	(1,571)
			At 31 December 2016	308,896	548,803	336,818	(21,885)
			At 1 January 2017	308,896	548,803	336,818	(21,885)
			Profit for the year	-	-	(180,422)	
			Other comprehensive income/loss	-	-		
			Total comprehensive income for the year	-	-	(180,422)	
			Dividends Paid	-	-	-	-
			At 30 June 2017	308,896	548,803	156,396	(21,885)

DEACONS (EA) PLC UNAUDITED FINANCIAL RESULTS FOR THE PERIOD ENDED JUNE 2017

The overall retail trading environment during the period under review was characterized by extraordinary and exceptional events that adversely affected the business, key among them being as follows:

- The Country experienced a prolonged drought that led to higher food prices. This in turn led to an increase in overall inflationary pressure which rose to a high of 11.7% in May 2017. The reduction in disposable income, coupled with the lack of consumer credit from the banks had a direct impact on customer shopping trends.
- Whilst the overall unit sales increased by 14% and the total number of transactions by 9%, the average unit price sold reduced by 13% with a corresponding drop in per customer average spend by 17% compared to the same period in the previous year.
- The retail space increased from 169,516 square feet in 2016 to 190,341 square feet in 2017 on account of 8 additional stores. However, a marginal increase of 5% in revenue was not sufficient to cover the incremental cost from these stores. The significant increase in overall availability of retail space as a result of the development of new malls was not proportionately matched by an increase in the number of shoppers. The resultant cannibalization led to a drop in traffic into all malls.
- The non-performance of major anchor tenants reduced traffic into the malls. With 98% of our stores operating in malls whose anchor tenants are experiencing stocking challenges, data shows that footfall has decreased by over 60% with customers choosing to visit other facilities.
- For the first six months of the year, the Country was affected by the national elections fever which reduced consumer demand and spending.
- Aggressive sale offers in Q2 reduced the average gross margins to 39% but enabled the business to flush out stock and improve liquidity.

On a positive note, the two new F & F stores have registered very encouraging results indicating that its value proposition was well received and has great potential to grow into a chain of stores. The Bossini, Adidas and Lifefitness brands have also posted good results signaling that the “wellness and leisure” market segment will continue to present growth opportunities.

The Revenue for the period increased by 5% to Kes 1.077B compared to Kes 1.026B in 2016. This marginal growth was attributed to the slow start of the four stores at the Two Rivers Mall and the issues discussed above.

The Net Operating Profit decreased by 43% compared to the same prior year period following a reduction in margins by a major brand. This reduction of margins did not lead to an increase in volume sales and has had a significant negative impact on the results.

The Total Operating Expenses increased by 12% as a result of the increase in number of stores and the staff rationalization program that was implemented in May 2017. The Group registered a Loss After Tax of Kes 180.4M compared to a loss of Kes 52.6M in 2016.

Future Outlook

As part of the restructuring initiatives and effort to return to profitability, the Company has trimmed its retail portfolio and reduced operating costs. The Board has approved the closure of the Angelo brand and has taken the decision to terminate the Babyshop franchise contract and source products directly from the open market in order to improve the overall value proposition of this business. In continuation of this consolidation strategy, the Board is considering a plan to further rationalize its brand portfolio by the year-end. This program will see the savings from these measures shore up the liquidity of the Group and provide a platform for future growth. Plans to launch a proprietary e-commerce platform by Q1, 2018 are well underway with all other social media assets already activated. With the completion of the elections, it is anticipated that the trading environment will improve and lead to a return in consumer confidence ahead of the busy Christmas period.

Dividend

The Directors do not recommend the payment of an interim dividend.

BY ORDER OF THE BOARD

JLG MAONGA
Company Secretary

30th August, 2017.